Brain Interacts

WHITEPAPER

The Spreadsheet Always Wins

Why your people ignore the software you paid for, and how to make the new way the easy way.

The Behavioral Enterprise Series

Brain Interacts

Written for

CEOs · CFOs · CROs · CIOs · Owners of CRM, ERP and Collaboration Platforms

ABOUT THIS SERIES

The Behavioral Enterprise Series

A set of papers from Brain Interacts on one idea: most business problems that look like strategy, technology or people problems are really behavior problems, and behavior responds to design far more reliably than to instructions.

This paper sets out the core tool, choice design, using the problem every leader has paid for: software nobody uses.

AT A GLANCE

Four ideas in one page

The problem

Companies buy software assuming people will use it once they are told to and trained to. Usage data says otherwise.

The insight

People rarely weigh every option fresh. They follow the path their environment lays out. Whoever designs that path, on purpose or by accident, decides adoption.

The move

The DEFAULT Audit: a seven-part review of the choices built into any tool, and how to redesign them.

The payoff

Higher real usage, cleaner data, fewer wasted licences and less change fatigue, mostly through changes that are cheap, fast and reversible.

THE SCENE

Monday, 9 am

Eighteen months ago, your company signed a multi-year contract for a new CRM. The business case promised one source of truth, faster forecasts and no more manual reports. There was a launch email from the CEO. Every salesperson completed a 45-minute training module.

It is now Monday's forecast review. The CRM dashboard is on the big screen. Arjun, your most successful regional head, glances at it, then opens his laptop.

"Let me share the real numbers."

Up comes a spreadsheet. Nobody objects. The meeting runs from Arjun's file, as it has for months. Later that week, the vendor's renewal quote arrives, priced for every seat.

Arjun isn't resisting change. He is doing what any sensible person does: using the tool that takes the least effort and that the meeting will accept.

The spreadsheet won because, in the way your company actually works, it was the default.

THE COST

You are paying for this

Zylo, a software management company, publishes an annual index from its own customer data. Its 2026 edition reports that about 46% of software licences go unused in any 30-day period, with average annual waste of about $19.8 million per organisation and $80.6 million among companies with over 10,000 employees. Its 2023 edition found that 70% of software contracts were renewed despite being underused.

46%	$19.8M	$80.6M	70%
of licences unused in any 30-day period	average annual waste per organisation	at companies with 10,000+ employees	of contracts renewed despite underuse

Source: Zylo SaaS Management Index, 2023 and 2026 editions.

These are a vendor's figures from its own customers, so read them as a direction, not a precise measure. But the direction is hard to ignore: companies routinely pay for software their people quietly decline to use, and then renew it.

The software isn't failing. It's losing a competition you didn't know it was in.

The usual diagnosis is resistance to change, and the usual remedy is more communication, more training and eventually a mandate. (You may have heard that 70% of change programmes fail. That number has no solid evidence behind it (Hughes, 2011), though the experience behind it is real.)

All of those remedies treat adoption as a problem of knowledge and willpower. It is better understood as a problem of design.

THE SCIENCE

Why defaults beat directives

Economists Thaler and Sunstein (2008) coined the term **choice architecture**: the design of the setting in which people choose. Their central point is that no design is neutral. Someone decides what a screen shows first, which option is pre-selected, how many clicks a task takes and when a reminder appears.

Every tool you own already has a choice design. The only question is whether anyone designed it on purpose.

Status quo

Samuelson & Zeckhauser, 1988

People stick with what's already there

We keep the current or easiest option even when a better one exists. Switching costs effort and risk. When the old way still works, it usually wins.

37% → 86%

Madrian & Shea, 2001

Defaults beat education

When one US employer switched its retirement plan from opt-in to automatic enrolment, participation among new hires rose from about 37% to 86%. Nobody was forced; anyone could opt out. The same study carries a warning: many people kept the default settings they would never have chosen. Defaults are powerful, so choose them carefully.

99.98% vs 12%

Johnson & Goldstein, 2003

Defaults shape even life-and-death choices

Effective organ-donor consent was 99.98% in Austria, where citizens are donors unless they opt out, against about 12% in Germany, where they must opt in. Real-world donation gaps are smaller, but the pull of the default is clear.

WHY DEFAULTS BEAT DIRECTIVES, CONTINUED

3.5% → 13.6%

Thaler & Benartzi, 2004

Timing and commitment can be designed

In the Save More Tomorrow programme, employees agreed in advance to save part of future pay rises. Those who stayed raised savings rates from 3.5% to 13.6% over 40 months.

~2%

Allcott, 2011

Peers persuade

Households shown how their energy use compared with neighbours' cut consumption by about 2%. Small per person, near-zero cost, and powerful at scale.

Useful + easy

Davis, 1989 · Venkatesh et al., 2003

Ease decides adoption

Decades of technology research show that people adopt tools they find useful and easy to use, especially when colleagues use them and support is on hand.

WHAT THE RESEARCH DOESN'T SAY

Nudges aren't magic. Comparing published studies with real trials run by two government nudge units, DellaVigna and Linos (2022) found average effects of about 8.7 percentage points in academic papers but only 1.4 in practice, largely because published studies are a selective sample.

8.7 pts
Average effect in academic papers

1.4 pts
Average effect in real-world practice

Expect smaller effects than headlines suggest, and test everything in your own setting. And heavy-handed mandates trigger what psychologists call reactance (Brehm, 1966): the urge to resist being pushed.

DIAGNOSIS

How poor choice design shows up

SIGNAL	WHAT YOU SEE	WHAT IS DRIVING IT
Shadow spreadsheets	Leaders ask for 'the real numbers' in a separate file	The old path is easier to stay on
Late or patchy data	Records updated in bursts before reviews	Effort now, benefit later
Launch spike, then decline	Logins peak after go-live and fade in weeks	No prompt at the moment of need
A few enthusiasts	A handful of power users do most of the work	Nobody can see that peers use it
Mandate backlash	Compliance on paper; workarounds multiply	People resist being pushed
Automatic renewals	Contracts renewed with high unused seats	Nobody owns the usage number

In every case, people are making sensible local decisions inside an environment that rewards the old behavior. Asking them to try harder is a weak strategy. Changing the environment is a strong one.

WHERE IT BREAKS

Three layers, three blind spots

LEADERSHIP

What they see

A tool that was bought, launched and trained

What they miss

That the old way is still the default in every meeting

MANAGERS

What they see

Reports that arrive, one way or another

What they miss

That accepting the spreadsheet keeps the spreadsheet alive

EMPLOYEES

What they see

A new tool that adds effort to every task

What they miss

Any reason it's worth the switch

Corporate Brain, our behavioral and workforce analytics platform, gives leadership, managers and employees a shared view of how work actually gets done, so you can see where the official process and the real one have drifted apart.

THE FIX

The DEFAULT Audit

A review of the choices built into a single tool or workflow. Each letter is one design lever.

D — Defaults

Make the desired behavior the pre-selected one. Set up accounts on day one with role-based views. Make the team dashboard the home screen. Auto-create a record when a customer email arrives and pre-assign an owner. Write down why each default was chosen, so it can be reviewed.

E — Ease

Make the right path the shortest. Count the clicks behind the most common tasks and cut everything that doesn't feed a decision. Connect email and calendar so data is entered once. Apply a one-minute rule: if a routine update takes longer than a minute, redesign the form, not the person.

F — Framing

Describe the tool by what the user gains or avoids losing. Replace 'Update the CRM by Friday' with 'Logged deals are protected in territory disputes and drop out of Monday's status meeting.' Every claim must be true.

THE DEFAULT AUDIT, CONTINUED

A

Attention cues

Prompt at the moment of need, inside the work. A one-click 'Log this call?' after a client meeting beats a weekly reminder email. Cap the number of prompts, or people stop seeing them.

U

Use of peers

Make colleagues' behavior visible: '9 of 10 people on your team use the Forecast view.' Recruit respected peers as champions, not IT staff. Prefer team-level signals to individual leaderboards, which feel like surveillance.

L

Lock in commitments

Let people commit in advance, when it feels easy. Ask teams to agree one concrete habit before launch: 'After every client call, I log it before opening email.' Agree now that new reports will only be built in the new tool from a set date.

T

Test

Treat every nudge as a hypothesis. Roll out to teams in waves, measure behavior rather than satisfaction, and drop what doesn't work.

D	E	F	A	U	L	T
Defaults	Ease	Framing	Attention	Peers	Commit	Test

METHOD

Running the audit

MAP

Map the moments of choice

Walk the user's journey from first access to daily use to renewal. At each moment, write down what the user decides and what the environment currently suggests.

LIST

List the defaults and the friction

Record the current default, the number of steps and any prompt. Watch people who use the workaround. Their workaround is a map of where the tool is failing them.

SCORE

Score and prioritise

Rate each lever from absent to strong at each moment. Rank changes by impact against effort. Start with defaults and ease, usually the cheapest and most powerful.

PILOT

Pilot and iterate

Pick two or three changes, test them against a comparison group, and decide on what people actually do.

THE AUDIT IN PRACTICE

MOMENT	DEFAULT TODAY	CHANGE	MEASURE
New opportunity	Blank record, no owner	Pre-fill from email, owner set (D, E)	% with owner within a day
After a client call	No prompt	One-click 'Log this call?' (A)	Average logging delay
Weekly forecast	Spreadsheet accepted	Review runs only from the system (D, F)	Reports built from spreadsheets
New joiner	Access on request	Configured account on day one (D)	Days to first real use

PROOF THAT IT WORKS

Kestrel Components

A composite illustration. The company is fictional and all figures are illustrative.

Kestrel Components, a 4,200-person manufacturer, replaced its old CRM for about 900 sales and service staff using the traditional playbook: an announcement, mandatory training and a go-live date. Six months later only 48% were genuinely active, only 39% of deal updates were entered within two working days, and leadership still forecast from regional spreadsheets.

Instead of a second round of training, the CIO and head of sales operations ran a DEFAULT Audit. Opportunities were created automatically from email with owners assigned. Seven rarely used required fields were removed. A one-click prompt after client meetings replaced weekly reminder emails. Messaging shifted from compliance to time saved: the weekly status meeting was cancelled once the system was up to date. Teams saw team-level completeness scores. Changes rolled out in waves across six regions.

Two things failed, and testing showed it. Reminder emails changed nothing. An individual leaderboard drew complaints about surveillance and was removed after three weeks.

BEFORE → AFTER SIX MONTHS

Genuinely active users (3+ records updated weekly)

48% → 81%

Deal updates within two working days

39% → 74%

Forecast error vs actuals (average)

±22% → ±11%

Unused licences cut at renewal

9% of seats

No single nudge produced the result. The combined redesign made the new tool the easiest way to do the job, and the company knew which parts worked because it measured them.

THE INVOICE

What unused software costs

Fill in your own numbers. The example is illustrative.

LINE ITEM	EXAMPLE	YOUR ORGANISATION
Paid seats	1,000	
Annual cost per seat	₹60,000	
Total annual licence spend	₹6 crore	
Share of seats not genuinely used	45%	
Spend on unused seats	**₹2.7 crore a year**	

And that is only the licence line. Add the hours spent maintaining parallel spreadsheets, the decisions made on forecasts that are 20% off, and the next implementation that will repeat the same mistakes.

THE PLAN

The first 90 days

DAYS 1–30
Diagnose

Choose one high-value tool with a clear owner. Define 'active use' as a specific action that creates value, and measure today's baseline. Watch five to eight people work, including those who rely on workarounds. Run the DEFAULT Audit and shortlist five changes.

DAYS 31–60
Pilot

Make the top three to five changes for a pilot group, with a comparable group as control. Launch a network of peer champions. Review behavior weekly and drop any nudge that does nothing or draws complaints.

DAYS 61–90
Scale and embed

Roll out what worked; retire what didn't. Build the winning defaults into onboarding. Report results in business terms: time saved, data quality, licences recovered, forecast accuracy. Take the usage data into your next renewal negotiation.

MEASURING SUCCESS

Six-month targets

MEASURE	WHAT IT TELLS YOU	TARGET
Weekly active users	Share of seats doing the core task	75–85%
Update timeliness	Records updated within two working days	70–80%
Days to first real use	How fast new users get value	3–5 days
Licence utilisation	Active seats ÷ paid seats	80–90%
Prompt opt-outs (guardrail)	Are nudges becoming noise?	Below 15%

GUARDRAILS

Where this goes wrong

A nudge can't fix a bad tool. If the software doesn't help people do their jobs, no default will save it. Listen to the workarounds; they are product feedback.

Too many prompts. Stacked banners and reminders create fatigue. Set a daily budget for prompts and cut those that don't earn their place.

Defaults that serve the company at the user's expense. Quietly opting people into data sharing, after-hours alerts or extra monitoring crosses from design into manipulation.

Chasing vanity metrics. Reward logins and you get logins. Measure actions linked to outcomes.

Monitoring individuals. Usage analytics involve employee data. Under India's DPDP Act and similar laws elsewhere, be transparent, prefer team-level reporting, and involve legal before you start.

THE THREE-QUESTION ETHICS TEST

- ✓ Would the employee approve of the design if they understood it?
- ✓ Can they opt out easily?
- ✓ Does it serve their interest as well as the company's?

If any answer is no, redesign.

CLOSING

Back to Monday

Arjun's spreadsheet isn't the problem. It's the evidence. It shows exactly what your CRM failed to make easy, and exactly which meeting still accepts the old way. Change the default in that one meeting, and the spreadsheet starts to lose.

Pick one tool you are already paying for and run the audit this quarter. You don't need a new platform, a bigger training budget or a reorganisation. You need to look at the tool the way your newest employee does, ask what the environment is nudging them to do, and change it on purpose.

People don't resist change. They follow the easiest path. Design the path.

CONTINUE READING

Connections to the series

Promote Her or Fire Her?	Security rules are choice design too, and the same principles apply.
Culture Lasts Three Weeks	Nudges start a behavior; habits sustain it.
Everyone Knew in Month Two	People must feel safe saying a tool makes their work harder.
We've Come Too Far to Stop	If testing shows a tool can't reach adoption, you need a disciplined way to stop investing.
The Bonus Bought You Twelve Months	People embrace tools that make them better at their jobs, and resist tools that merely monitor them.

Brain Interacts

ABOUT BRAIN INTERACTS

Brain Interacts is a team analytics and behavioral analysis company. We build Corporate Brain and work with organisations on culture studies, root-cause analysis, and behavior-led operating design.

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SOURCES

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